



Report and Recommendation of the President to the Board of Directors

PUBLIC

Project Number: 55205-001
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Proposed Loan, Grant, and Administration of Loans Monsoon Wind Power Company Limited Monsoon Wind Power Project (Lao People's Democratic Republic)

This is a redacted version of the document approved by ADB's Board of Directors. The document excludes information that is subject to exceptions to disclosure set forth in ADB's Access to Information Policy.

Asian Development Bank

CURRENCY EQUIVALENTS

(as of 20 September 2022)

Currency unit	–	kip (KN)
KN1.00	=	\$0.00006
\$1.00	=	KN15,926.32

ABBREVIATIONS

ACEN	–	ACEN Corporation
ACRI	–	ACEN Renewables International Private Limited
ADB	–	Asian Development Bank
ADF-PSW	–	Asian Development Fund-Private Sector Window
CFPS	–	Canadian Climate Fund for the Private Sector in Asia
CFPS II	–	Canadian Climate Fund for the Private Sector in Asia II
E&S	–	environmental and social
EPC	–	engineering, procurement, and construction
ESIA	–	environmental and social impact assessment
EVN	–	Vietnam Electricity
FCAS	–	fragile and conflict-affected situation
GMS	–	Greater Mekong Subregion
IEAD	–	Impact Energy Asia Development Limited
IES	–	Impact Electrons Siam Company Limited
kV	–	kilovolt
Lao PDR	–	Lao People's Democratic Republic
LEAP	–	Leading Asia's Private Infrastructure Fund
MW	–	megawatt

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PPA	–	power purchase agreement
PRC	–	People's Republic of China
SMP	–	SMP Consultation Sole Company Limited
SPS	–	Safeguard Policy Statement
STEM	–	science, technology, engineering, and mathematics
UXO	–	unexploded ordnance

NOTE

In this report, "\$" refers to United States dollars.

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PROJECT AT A GLANCE

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I. THE PROPOSAL

1. I submit for your approval the following report and recommendation on (i) a proposed loan of up to \$600,000,000, comprising (a) an A loan of up to \$150,000,000 and (b) a B loan of up to \$450,000,000, and (ii) a proposed grant from the Asian Development Fund-Private Sector Window (ADF-PSW) of up to \$10,000,000 to Monsoon Wind Power Company Limited for the Monsoon Wind Power Project in the Lao People's Democratic Republic (Lao PDR). The report also describes the proposed administration of loans to be provided by (i) the Leading Asia's Private Infrastructure Fund (LEAP) of up to \$20,000,000; (ii) the Canadian Climate Fund for the Private Sector in Asia (CFPS) of up to \$10,000,000; (iii) the Canadian Climate Fund for the Private Sector in Asia II (CFPS II) of up to \$30,000,000 for the Monsoon Wind Power Project, and if the Board approves the proposed loan and grant, I, acting under the authority delegated to me by the Board, approve the administration of the loans.

2. The project entails a wind power project with a contracted capacity of 600 megawatts (MW) to be constructed in the Lao PDR that will export and sell electricity into neighboring Viet Nam. It will be the first wind power project in the Lao PDR, the largest in Southeast Asia, and the first cross-border in Asia. The project will provide a substantial source of clean renewable energy supply to Viet Nam to help meet the country's growing demand for energy. The project will help unlock the Lao PDR's significant untapped wind resource potential and provide social and economic benefits to the country in the form of employment, improved infrastructure, increased regional connectivity, and revenues through collection of royalties, lease payments, and taxes.

II. THE PROJECT

A. Project Identification and Description

3. **Project identification.** The Lao PDR is relatively well endowed with natural resources, specifically minerals and water, and is strategically located in the middle of the Greater Mekong Subregion (GMS) comprising Cambodia, Myanmar, the People's Republic of China (PRC, specifically Yunnan Province and Guangxi Zhuang Autonomous Region), Thailand, and Viet Nam. Since the introduction of market-oriented policies in the mid-1980s, the Lao PDR has been able to capitalize on its natural resources and geographical location by attracting foreign direct investment and opening trade and connectivity with its neighboring countries. During this period, the country has experienced rapid economic growth and reduced poverty. Cross-border hydropower projects have been one of the pillars and driving forces of the Lao PDR's economic growth and success since the 1990s. With an abundance of hydro resources and substantial electricity demand in Thailand and Viet Nam, developing hydropower and exporting electricity to neighboring GMS countries has been one of the key policy priorities of the Government of the Lao PDR. The government seeks to transform the country from a landlocked into a land-linked country through regional infrastructure development and establish itself as the "Battery of Southeast Asia" by becoming a major electricity exporter for the region.¹

4. Resource-based exports from minerals and hydropower have been the main source of foreign direct investment inflows, foreign exchange earnings, and fiscal revenues for the Lao PDR, but the country must also explore other potential resources that can help maintain sustainable export growth well into the future. Largely untapped renewable energy sources such as solar and wind can provide a sustainable new resource for both domestic consumption and export. Harnessing solar and wind resources and diversifying electricity exports through other

¹ World Bank. 2022. [Linking Laos, Unlocking Policies](#). Washington, DC.

forms of renewable energy can provide similar economic benefits as hydropower, but with lower ecological and social imprint. Wind power may have significant potential in the Lao PDR, but there has been lack of wind data measurement in the country, as investment in the power sector has been primarily focused on developing hydropower. Based on preliminary studies, the potential for utility-scale wind power was assessed to be in the range of 135–682 terawatt-hours per year with a corresponding installed capacity of 116–557 gigawatts.² This is equivalent to approximately 16–77 times the 7.2 gigawatts of installed hydropower capacity in the country and represents a substantial storehouse of untapped natural resources. Furthermore, the seasonality of wind power is countercyclical to rainfall in the Lao PDR, which makes the resource complementary to the Lao PDR’s hydropower generation and helps to smooth the volatility of electricity export–import.

5. Although the Lao PDR has made substantial economic progress, it remains one of the least developed nations in the region, with weaknesses in governance and institutions introducing fragilities and constraining development progress. In 2020, the Asian Development Bank (ADB) classified the Lao PDR as a fragile and conflict-affected situation (FCAS), as the country is experiencing an unprecedented level of macroeconomic stress, with high levels of public debt and weak public financial management—problems that have been exacerbated by the coronavirus disease (COVID-19) pandemic.³ ADB is providing technical assistance to the country to improve debt management and transparency. Developing new natural resources such as wind into power through private sector investment is a pivotal step for the government that can help spur the country’s economic and social advancement.

6. Infrastructure projects that are pioneering, complex, large-scale, and cross-border have long gestation periods as they require substantial time for feasibility and impact studies as well as allowance for planning and approvals with multiple government entities on both sides of the border. ADB has been working closely with Impact Energy Asia Development (IEAD), the developer of the project, since 2015 by providing guidance to the developer on structuring an international bankable project, and ADB was officially mandated in 2021 to lead the due diligence process and mobilize substantial commercial, developmental, and concessional funding for the project.

7. **Project design.** The project entails the construction and operation of a wind power plant with up to 600 MW contracted capacity in Lao PDR. The project will be implemented under a 25-year power purchase agreement (PPA) with Vietnam Electricity (EVN), Viet Nam’s state-owned electricity utility, and a 25-year build–own–operate–transfer concession agreement with the government. **CONFIDENTIAL INFORMATION DELETED.**

8. **Gender context.** The Lao PDR boasts high female labor force participation (81%, compared with 83% for male).⁴ However, gender disparities remain high in science, technology, engineering, and mathematics (STEM) fields. Only 13% of women graduate in STEM fields, compared with 32% for men, which limits the availability of female talent in the related sectors.⁵ The project’s gender action plan seeks to help address these identified gender gaps.

² United States Agency for International Development-National Renewable Energy Laboratory Partnership. 2018. [Energy Alternatives Study for the Lao People’s Democratic Republic: Smart Infrastructure for the Mekong Program](#). Bangkok.

³ In categorizing the Lao PDR as FCAS, ADB cited high institutional and social fragility in the country because of weak performance in macroeconomic and fiscal management, which has resulted in high levels of debt distress.

⁴ United Nations Children’s Fund. 2019. [The Situation of Children and Women: Lao PDR](#). Geneva.

⁵ World Bank. 2020. [Stepping up women’s STEM careers](#). Washington, DC.

9. **Borrower and sponsors.** Monsoon Wind Power Company Limited (Monsoon Wind Power), the borrower, will be established in 2022 and domiciled in the Lao PDR. IEAD, the developer and holding company of the of the key sponsors, will directly own up to 85% of the borrower. The project sponsors will be ACEN Renewables International Private Limited (ACRI), BCPG Public Company Limited (BCPG), Impact Electrons Siam Company Limited (IES), Mitsubishi Corporation, and SMP Consultation Sole Company Limited (SMP). **CONFIDENTIAL INFORMATION DELETED**. BCPG is a leading renewable energy company in Asia and the Pacific based in Thailand. IES is a pioneering renewable energy developer based in Thailand that was established in 2011 and has operations in Japan, the Lao PDR, Thailand, and Viet Nam. ACRI is 100% indirectly owned by ACEN Corporation (ACEN), which invests and manages a diversified portfolio of renewable and conventional power generation assets. Mitsubishi Corporation is Japan's largest trading company and has 9,450 MW of generating capacity on an equity basis. SMP is a Lao PDR company incorporated in 2016 that operates in several sectors, including energy, automotive distribution, education, information and communication technology, finance, beverage, restaurants, hospitality, and real estate.

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B. Development Impacts, Outcome, and Outputs

10. **Impact.** The project is aligned with the following impacts: (i) the Lao PDR's development of renewable energy, regional cooperation, and energy integration under the 9th Five-Year National Socio-Economic Development Plan supported,⁶ and (ii) Viet Nam's Nationally Determined Contribution under the Paris Agreement to reduce greenhouse gas emissions supported.⁷ The project is also aligned with Sustainable Development Goals 5, 7, and 13 to (i) achieve gender equality and empower all women and girls, particularly through greater economic empowerment; (ii) ensure access to affordable, reliable, sustainable, and modern energy for all; and (iii) take urgent action to combat climate change and its impacts.

11. **Outcome.** The project will have the following outcome: supply of wind energy increased. **CONFIDENTIAL INFORMATION DELETED**

12. **Outputs.** The project has three outputs: (i) wind power project and transmission line to Viet Nam border constructed, (ii) local economy supported with gender equality enhanced, and (iii) gender equality in the work environment enhanced.

C. Alignment with ADB Strategy and Operations

13. **Consistency with ADB strategy and country strategy.** The project is consistent with ADB's Strategy 2030 and three of its key operational priorities: (i) accelerating progress in gender equality (priority 2); (ii) tackling climate change, building climate and disaster resilience, and enhancing environmental sustainability (priority 3); and (iii) fostering regional cooperation and integration (priority 7).⁸ Furthermore, the project supports greater mobilization of private sector participation in infrastructure. ADB's support for the project is in line with its country partnership

⁶ Lao People's Democratic Republic. 2021. [9th Five-Year National Socio-Economic Development Plan \(2021–2025\)](#). Vientiane.

⁷ Government of Viet Nam. 2020. [Updated Nationally Determined Contribution](#). Ha Noi.

⁸ ADB. 2018. [Strategy 2030: Achieving a Prosperous, Inclusive, Resilient, and Sustainable Asia and the Pacific](#). Manila.

strategy, 2017–2020⁹ and country operations business plan, 2020–2022¹⁰ for the Lao PDR, both of which support private sector development and energy infrastructure and respond to the needs and priorities of a least-developed country.

14. **Consistency with sector strategy and relevant ADB operations.** The project is consistent with ADB's Energy Policy, which emphasizes investments in energy efficiency, renewable energy projects, and wider access to energy.¹¹ It will contribute to ADB's ambition of providing \$100 billion in cumulative financing for climate mitigation and adaptation by 2030.¹²

15. **Lessons from previous operations.** ADB has been at the forefront of financing large and complex cross-border hydropower projects in the Lao PDR. The lessons from these projects are relevant and can be applied to the project, which has similar characteristics in term of size and scope. The lessons include (i) collaboration of ADB and other multilaterals and development finance institutions are essential from an early stage; (ii) well-qualified and high-quality sponsors are essential for successful construction and operation; and (iii) substantial long-term commitment to project preparation, appraisal, implementation, and supervision is required to ensure an eventual successful outcome in a high-risk context.

D. Project Cost and Financing Plan

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E. Implementation Arrangements

16. Table 3 summarizes the implementation arrangements.¹³

Table 3: Summary of Implementation Arrangements

Aspects	Arrangements
Regulatory framework	The project will be implemented under a 25-year build–own–operate–transfer concession agreement with the government, which grants the borrower the rights to design, build, finance, operate, and maintain the project; utilize the land and natural wind resources at the project site; and sell electricity to EVN under the power purchase agreement.
Management	CONFIDENTIAL INFORMATION DELETED
Implementation period	CONFIDENTIAL INFORMATION DELETED
Construction arrangements	
Construction	CONFIDENTIAL INFORMATION DELETED
Contractor	CONFIDENTIAL INFORMATION DELETED
Operations arrangements	
Revenue structure	CONFIDENTIAL INFORMATION DELETED
Major cost structure	Wind power has high up-front capital costs and minimal operating costs. The long-term average cost structure is highly predictable, with minimal operating costs and no ongoing fuel expenses. As debt financing is the only material expense, it drives the economics and viability of wind power projects.
Operation and maintenance	CONFIDENTIAL INFORMATION DELETED
Relevant parties	CONFIDENTIAL INFORMATION DELETED

⁹ ADB. 2017. *Country Partnership Strategy: Lao People's Democratic Republic, 2017–2020—More Exclusive and Sustainable Economic Growth*. Manila.

¹⁰ ADB. 2019. *Country Operations Business Plan: Lao People's Democratic Republic, 2020–2022*. Manila.

¹¹ ADB. 2021. *Energy Policy*. Manila.

¹² ADB. 2021. *ADB Raises 2019–2030 Climate Finance Ambition to \$100 Billion*. New release. 13 October.

¹³ Details of Implementation Arrangements (accessible from the list of linked documents in Appendix 2).

Aspects	Arrangements
Performance monitoring	The borrower will report key performance indicators annually, including output and outcome indicators.

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Source: Impact Energy Asia Development.

F. Projected Financial and Economic Performance

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III. THE PROPOSED ADB ASSISTANCE

A. The Assistance

17. ADB's assistance comprises (i) a 19-year A loan up to \$150,000,000; (ii) a 17–19-year B loan of up to \$450,000,000; (iii) the administration of 17–21-year concessional loans of up to \$60,000,000 from CFPS, CFPS II, and LEAP; and (iv) a grant from the ADF-PSW of up to \$10,000,000. CONFIDENTIAL INFORMATION DELETED

B. Value Added by ADB Assistance

18. ADB adds value by (i) syndicating a substantially large consortium of developmental and commercial financial institutions, (ii) mobilizing B loan product and concessional funding to mitigate key project risks, (iii) strengthening the environmental and social (E&S) standards and capacity of the project, and (iv) incorporating measures to promote gender equality and women's empowerment.

C. Risks

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IV. POLICY COMPLIANCE

A. Safeguards and Social Dimensions

19. ADB has categorized the investment in compliance with ADB's Safeguard Policy Statement (2009) (SPS) as follows: environment (category A), involuntary resettlement (category A), and indigenous peoples (category A).¹⁴ ADB has undertaken due diligence and reviewed the potential E&S impacts of the project and the measures to avoid, minimize, mitigate, and compensate for the adverse impacts in the safeguard reports and plans. The E&S measures and the institutional capacity and commitment of Monsoon Wind Power to manage the project's E&S impacts are deemed adequate.

20. **Environment.** Independent and qualified consultants prepared a draft environmental and social impact assessment (ESIA), which was disclosed on ADB's website in May 2022. The ESIA identified and assessed the project's potential impacts and includes an E&S management plan (ESMP). The ESIA did not include an assessment of the potential E&S risks associated with the length of the 500 kV transmission line across the Viet Nam border, as it was determined that this section of the transmission line was not an associated facility as defined by the Safeguard Policy Statement. Nevertheless, it is noted that this transmission line traverses four communes

¹⁴ ADB. [Safeguard Categories](#).

populated by ethnic groups and Key Biodiversity Areas, including one that is also designated as an Important Bird and Biodiversity Area and an Alliance for Zero Extinction site.¹⁵ During construction, potential environmental impacts and risks include those related to dust, noise, community and occupational health and safety, increased traffic, hazardous materials, waste generation, and biodiversity. During this phase, the project also poses risks associated with disturbance of soils historically contaminated with defoliating chemicals and UXO. The borrower has committed to conducting UXO clearance before the start of physical works at the project site. Similarly, the borrower will develop and conduct a targeted soil sampling program for persistent organic pollutants to inform the project-specific ESMP and health and safety plan. The project is located within the Southern Annamites Montane Rain Forests ecoregion, which is considered vulnerable in terms of conservation/threat status. Furthermore, the critical habitat assessment determined that the project is within natural and modified critical habitat as defined by ADB's SPS. The borrower has optimized the project's design to avoid and minimize E&S impacts. To address potential residual project impacts on critical habitats, a draft biodiversity action plan has been developed by the project's representatives that includes options to offset residual impacts to achieve the no net loss of biodiversity requirements as stated in ADB's SPS. Shadow flicker real-case scenario modelling results concluded that several receptors would experience shadow flicker impacts from the wind turbine generators above annual thresholds. An in-depth assessment of all affected structures will be conducted before construction to develop specific mitigation measures for each affected receptor. The project's representatives have conducted multiple engagements, public consultations, focus group discussions, and key informant interviews with communities and local authorities in the project area related to the project's social, health and safety, and environmental impacts and benefits. Meaningful consultations were conducted by the project's representatives to optimize the layout of project infrastructure to avoid or minimize impacts as well as in developing the mitigation and management measures.

21. **Social safeguards.** Permanent and temporary acquisition of agricultural land will affect 378 households, of which 53 households (323 persons) are significantly affected as they rely on land-based livelihood activities as major sources of income. Loss of communal land and non-timber forest product collection areas will affect 2,107 households in varying degrees. Almost all affected households belong to distinct and vulnerable ethnic groups—Ha Luk, Katu, Triang, and Yae. They will also experience potential impacts and risks to tangible and intangible cultural heritage; construction-related nuisance; and safety issues because of hazards around construction sites, laydown areas, and large vehicle movements. Meaningful consultations were undertaken by the project's representatives with affected ethnic groups to design culturally appropriate and ethnically sensitive mitigation and management measures in the ESMP. Efforts were made by the project's representatives to relocate and realign project facilities to avoid physical displacement and areas with socio-cultural value to the affected ethnic groups. A resettlement plan was prepared by the project's representatives to ensure compensation at replacement cost and livelihood restoration of economically displaced households, consistent with Safeguard Policy Statement requirements. To provide culturally appropriate engagement and beneficial assistance to affected ethnic groups, a community and ethnic group development plan was prepared by the project's representatives and will be implemented during construction and operations. The borrower has allocated \$1.1 million annually, starting from commencement of commercial operations and continuing throughout the 25-year concession period, for community development programs under the community and ethnic group development plan for all 32 affected villages.

¹⁵ [Key Biodiversity Areas](#); [Important Bird and Biodiversity Area](#); [Alliance for Zero Extinction](#).

22. **Effective gender mainstreaming.** Following ADB's Policy on Gender and Development (2003),¹⁶ Monsoon Wind Power has incorporated measures to promote gender equality and/or women's empowerment in its business activities. Key features of the gender action plan are (i) operational job target for women; (ii) procurement from at least one woman-owned enterprise; (iii) technical internships for women; (iv) implementation of an anti-sexual harassment policy; and (v) implementation of a gender-inclusive policy that supports the hiring, retention, and promotion of female staff. The borrower will submit periodic reports on implementation of gender measures to ADB.

23. Monsoon Wind Power will comply with national labor laws and, pursuant to ADB's Social Protection Strategy (2001), will take measures to comply with internationally recognized core labor standards. The client will report regularly to ADB on (i) its and its contractors' compliance with such laws, and (ii) the measures taken. Information disclosure and consultation with affected people will follow ADB requirements.¹⁷

B. Anticorruption Policy

24. Monsoon Wind Power was advised of ADB's policy of implementing best international practices relating to combating corruption, money laundering, and the financing of terrorism. ADB will ensure that the investment documentation includes appropriate provisions prohibiting corruption, money laundering, and the financing of terrorism; and remedies for ADB in the event of noncompliance.

C. Investment Limitations

25. The proposed loan is within the medium-term, country, industry, group, and single exposure limits for nonsovereign investments.

D. Assurances

26. Consistent with the Agreement Establishing the Asian Development Bank (the Charter),¹⁸ ADB will proceed with the proposed assistance upon establishing that the Government of the Lao PDR has no objection to the proposed assistance to Monsoon Wind Power. ADB will enter into suitable finance documentation, in form and substance satisfactory

Masatsugu Asakawa
President

10 October 2022

DESIGN AND MONITORING FRAMEWORK

Impacts the Project is Aligned with The Lao PDR's development of renewable energy, regional cooperation, and energy integration under the 9th Five-Year National Socio-Economic Development Plan supported ^a Viet Nam's Nationally Determined Contribution under the Paris Agreement to reduce greenhouse gas emissions supported ^b			
Results Chain	Performance Indicators with Targets and Baselines	Data Sources and Reporting Mechanisms	Risks
Outcome Supply of wind energy increased	CONFIDENTIAL INFORMATION DELETED	a.–c. Monsoon Wind Power annual development effectiveness monitoring report	CONFIDENTIAL INFORMATION DELETED
Outputs 1. Wind power project and transmission line to Viet Nam border constructed 2. Local economy supported with gender equality enhanced	CONFIDENTIAL INFORMATION DELETED	1.–3. Monsoon Wind Power annual development effectiveness monitoring report	CONFIDENTIAL INFORMATION DELETED
3. Gender equality in the work environment enhanced	CONFIDENTIAL INFORMATION DELETED		
Key Activities with Milestones CONFIDENTIAL INFORMATION DELETED			
Inputs CONFIDENTIAL INFORMATION DELETED			

A = assumption, ADB= Asian Development Bank, EVN = Vietnam Electricity, GWh = gigawatt hour, km = kilometer, kV = kilovolt, Lao PDR = Lao People's Democratic Republic, Monsoon Wind Power = Monsoon Wind Power Company Limited, MW = megawatt, OP = operational priority, Q = quarter, R = risk, tCO₂e = tons of carbon dioxide equivalent.

Source: Asian Development Bank.

LIST OF LINKED DOCUMENTS

<http://www.adb.org/Documents/RRPs/?id=55205-001-4>

1. Sector Overview
2. Client Information
3. Details of Implementation Arrangements
4. Contribution to Strategy 2030 Operational Priorities
5. Financial Analysis
6. Economic Analysis
7. Country Economic Indicators
8. Summary Poverty Reduction and Social Strategy
9. Safeguards and Social Dimensions
10. Environmental and Social Impact Assessment
11. Resettlement Plan
12. Indigenous Peoples Plan
13. Gender Action Plan
14. Integrity Due Diligence and Tax Integrity Due Diligence